M&A DEEP DIVE

Microsoft Acquires Activision Blizzard

$68.7B All-Cash · Announced Jan 2022 · Closed Oct 2023

The largest acquisition in Microsoft history,
and the most scrutinized deal in gaming's history.

$68.7B
Deal Value

45%
Acquisition Premium

20.2x
EV / EBITDA

$95
Price Per Share

21mo
Regulatory Timeline

#3
Global Gaming Rank (Post-Close)

DEAL OVERVIEW

ACQUIRER

Microsoft

NASDAQ: MSFT · Technology / Cloud

FY2021 Revenue	**$168B**
Market Cap (Jan '22)	**$2.27T**
Cash on Balance Sheet	**$130B+**
CEO	**Satya Nadella**
Primary Motive	**Content + Cloud Scale**

ACQUIRES
$95/sh

TARGET

Activision Blizzard

NASDAQ: ATVI · Video Game Publisher

FY2021 Revenue	**$8.8B**
Market Cap (Jan '22)	**$61.5B**
Monthly Active Users	**400M+**
CEO	**Bobby Kotick**
Key IP	**CoD · WoW · Diablo · Candy Crush**

ANNOUNCED	CLOSED	STRUCTURE	TOTAL CONSIDERATION
Jan 18, 2022	Oct 13, 2023	100% All-Cash	$75B incl. net cash

STRATEGIC RATIONALE

WHY MICROSOFT NEEDED THIS DEAL

The Subscription War

Netflix-for-games was Microsoft's long-term bet. Game Pass had 25M subscribers at announcement, but needed tentpole franchises to convert the next 100M. Call of Duty alone drove 3B+ in annual revenue for Activision, representing ~1/3 of its total sales.

Platform Convergence & Cloud

Xbox Cloud Gaming needed AAA content to compete credibly with Sony, Apple Arcade, and Tencent. Activision's mobile division (King, maker of Candy Crush) added 250M+ mobile DAUs, a market where Xbox had virtually no footprint.

Content Scarcity in a Consolidating Market

Take-Two acquired Zynga for $12.7B just days before. EA, Sony, and Tencent were all acquiring studios. Microsoft faced content scarcity risk as the industry consolidated around a handful of mega-publishers.

Metaverse & Next-Gen Infrastructure

Satya Nadella explicitly cited Activision as the 'building blocks for the metaverse.' Online multiplayer ecosystems, CoD, WoW, Overwatch, offered Microsoft a ready-made social graph of 400M users.

WHY ACTIVISION AGREED TO SELL

- **Stock Down ~30% from 2021 Peak**
  Workplace misconduct investigations (DFEH lawsuit, 2021) had hammered the stock. Activists and institutional investors were restless.
- **45% Premium = Shareholder Value**
  $95/share was a compelling exit for investors who had seen ATVI trade as low as $56. Deal represented ~$25B+ in value creation for shareholders.
- **Microsoft's Balance Sheet as Shelter**
  With $130B+ in cash, Microsoft could fund the deal entirely without debt, providing Activision with a well-capitalized parent for game development.
- **Bobby Kotick's Exit Path**
  Kotick faced mounting board pressure and media scrutiny. The acquisition provided a graceful leadership transition and a legal shield for outstanding litigation.
- **Industry Scale Requirements**
  Building competitive cloud and mobile infrastructure independently would cost billions. Merging with Microsoft accelerated the roadmap by years.

FINANCIAL ANALYSIS

Enterprise Value

$68.7B

$75B incl. ATVI net cash

Price Per Share

$95.00

vs. $65.39 pre-announcement

Control Premium

45.3%

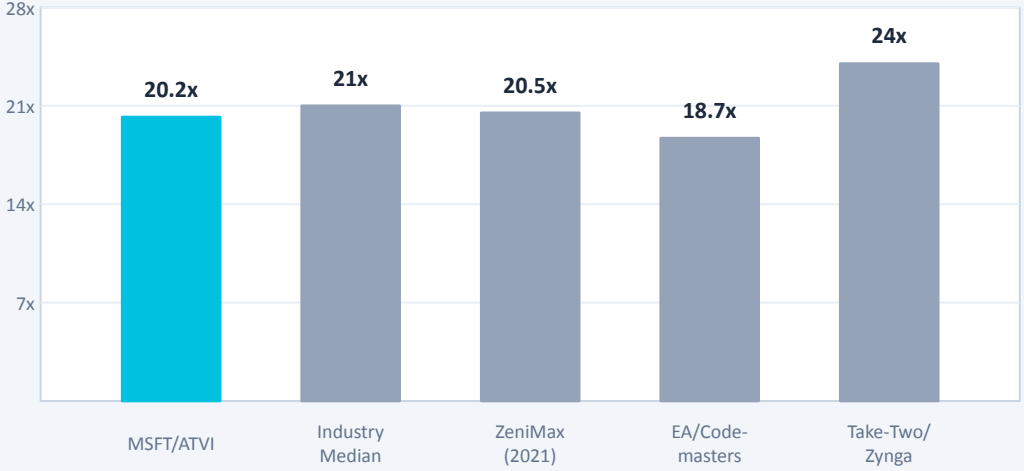
Well above 30-35% M&A avg.

EV / EBITDA

20.2x

On FY2021 adj. EBITDA of $3.4B

EV/EBITDA vs. COMPARABLE GAMING TRANSACTIONS



ACTIVISION BLIZZARD — PRE-DEAL FINANCIALS

Metric	FY2021
Net Revenue	$8.80B
Adjusted EBITDA	$3.41B
EBITDA Margin	38.8%
Non-GAAP EPS	$4.08
Monthly Active Users	400M+
Digital Revenue %	75%
Employees	~9,800

Deal fully funded by Microsoft's cash, no debt raised. EPS accretion ~$0.26 projected at close.

THE REGULATORY GAUNTLET

This deal faced the most complex multinational antitrust review in gaming history, 3 jurisdictions, 21 months, and a structural remedy that reshaped the cloud gaming market.

all-cash. ATVI +38% on open.
eal Announced
Jan 18, 2022

Dec 8, 2022
FTC Files Suit
U.S. regulator seeks to block on console/subscription grounds.

EC cleared after 10-yr Call of Duty access commitments.
EU Approves
May 15, 2023

Apr 26, 2023
UK CMA Blocks
CMA initially blocks citing cloud gaming dominance.

Federal judge rejects FTC attempt to halt deal.
FTC Injunction Denied
Jul 11, 2023

Aug 2023
Cloud Rights → Ubisoft
Microsoft divests Activision cloud-streaming rights to Ubisoft for 15 yrs.

CMA reverses; deal closes after 21 months.
Deal Closes
Oct 13, 2023

May 2025
FTC Drops Cas
9th Circuit denies fina appeal. Case close

KEY CONCESSIONS MADE TO WIN APPROVAL

Sony

10-year binding agreement: Call of Duty remains on PlayStation at feature/content parity with Xbox.

Nintendo

10-year deal to bring Call of Duty to Nintendo platforms, first time CoD on Nintendo hardware.

Ubisoft

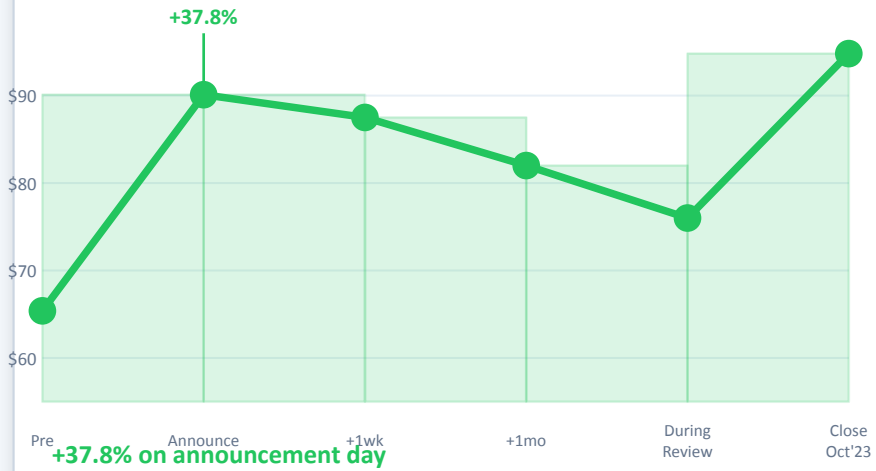
15-year divestiture of Activision's cloud-streaming rights to Ubisoft to satisfy UK CMA.

Nvidia/Steam

10-year access agreements for GeForce Now and Steam ensuring multi-platform availability.

MARKET REACTION

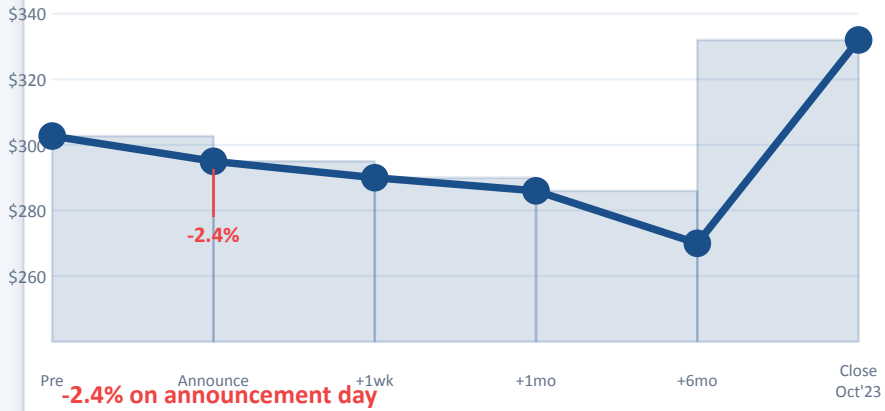
ATVI – Target Stock



+37.8% on announcement day

ATVI traded at a ~$12-20 discount to deal price for 21 months, pricing in regulatory risk. Risk arb funds earned ~18-25% annualised returns.

MSFT – Acquirer Stock



-2.4% on announcement day

Classic acquirer dip, market questioned the $69B price tag. MSFT surged past $330 post-close as gaming revenue grew 39-61% YoY.

KEY INSIGHT

The deal created a ~$20 risk arb spread that persisted for 21 months, reflecting genuine regulatory uncertainty. Sophisticated arb funds that held ATVI through close earned outsized returns, a textbook example of M&A arbitrage opportunity.

CHALLENGES & OUTCOME

INTEGRATION CHALLENGES

FTC Litigation (Dec 2022 – May 2025)

The FTC pursued the case for 2.5 years across district and appellate courts. Even after close, the agency challenged post-merger layoffs and Game Pass price hikes as inconsistent with pre-merger assurances. The 9th Circuit denied the final appeal in May 2025.

1,900 Layoffs (Jan 2024)

Microsoft cut ~8% of its gaming workforce in the first 90 days post-close, primarily from Activision overlap roles. The FTC cited this as evidence Microsoft had misled courts about operational independence.

Studio Cancellations & Culture Clash

Multiple in-development titles were cancelled. Blizzard president Mike Ybarra and CDO Allen Adham departed Jan 2024. The cultural integration of a company infamous for workplace controversy remained an ongoing reputational risk.

Game Pass Structural Challenges

Organic subscriber growth was essentially flat without Activision's boost. Microsoft's internal target of 100M Game Pass subscribers by 2030 looks increasingly ambitious given the 34–37M subscriber ceiling.

POST-CLOSE PERFORMANCE (FY2024)

39%	Total gaming revenue growth, FY2024 (+$6B YoY)
50%	Xbox content & services revenue growth, FY2024
500M	Monthly active users across all platforms post-close
$18.6B	Content & services revenue (87% of gaming mix)
34M	Game Pass subscribers (Feb 2024 — up 36% since '22)
-$1.4B	Activision operating loss in first full year (integration costs)

Verdict: Revenue accretive. Margins under pressure. Integration ongoing.

CONCLUSION & INVESTMENT TAKEAWAYS

Microsoft paid a fair price for an unfair advantage.

01 Content is the new infrastructure

In a platform economy, owning tentpole IP is equivalent to owning rails. Microsoft didn't buy a game company, it bought recurring engagement at scale.

02 Regulatory risk is now a valuation input

The 21-month delay cost Microsoft opportunity and compressed deal IRR. Modern M&A practitioners must model regulatory timelines and concession costs as base-case assumptions.

03 The acquirer dip was a buying opportunity

MSFT fell ~2.4% on announcement and lagged for 18+ months. Post-close, gaming revenue grew 39-61% YoY. Investors who added on the dip were rewarded.

04 Revenue ≠ profitability (yet)

Activision generated an operating loss of ~$1.4B in its first year under Microsoft. Integration costs, restructuring, and studio overhead make the profitability case a 3-5 year thesis, not an immediate one.